

Graham's world was analog; today's is almost completely digital. Companies today sell products and utilize technologies that Graham and Dodd could never have envisioned. Many enjoy first-mover advantages, rapid and unprecedented scalability, massive competitive moats, low or zero marginal cost of production, and network effects that make the business more profitable and more formidable the larger it grows. *Security Analysis* offers, of course, no examples of how to value a software developer, internet search engine, or smartphone manufacturer, but its analytical tools will be useful in evaluating almost any company, assess the value of its marketable securities, and determine the presence of a margin of safety. Questions of predictability, persistence, growth, business strategy, liquidity, and risk cut across businesses, markets, nations, and time.

Over the past quarter century, the internet has enabled the formation of an enormous number of businesses that simply were not imaginable before, some of the best in the world. One such example is Google (now Alphabet), which collects and analyzes vast and growing quantities of data that give the company an insurmountable advantage in providing increasingly targeted advertising. This capability has enabled the company to completely disrupt the traditional advertising business, building a deeper and deeper moat.

Thanks to the internet and the burgeoning growth of venture capital, an entrepreneur can now envision a business or even an industry that has never existed before, and he or she can raise venture funding, grow the fledgling enterprise exponentially at little or no cost, and if executed successfully, create a new market leader. This revolution arrived so rapidly that value investors found themselves in an unfamiliar position: many apparent bargains, evaluated on the basis of a continuation of historic cash flows, were turning out not to be bargains at all. Many such companies were not sound businesses facing a temporary down cycle as in Graham's day. Rather, they had